

Global Security Briefing — Baseline Verification

2026-05-20

China-Taiwan tensions escalated with military exercises near the median line, while Iran signaled readiness for renewed nuclear talks. NATO Baltic deployments continue.

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Headline Judgments

LIKELY	China will conduct naval exercises near Taiwan within 7 days
PROBABLE	Iran nuclear talks resume within 14 days
ALMOST_CERTAIN	NATO increases Baltic forward presence by 3 battalions
EVEN_CHANCE	Brazil fiscal consolidation passes lower house
UNLIKELY	Semiconductor export controls expanded to new categories

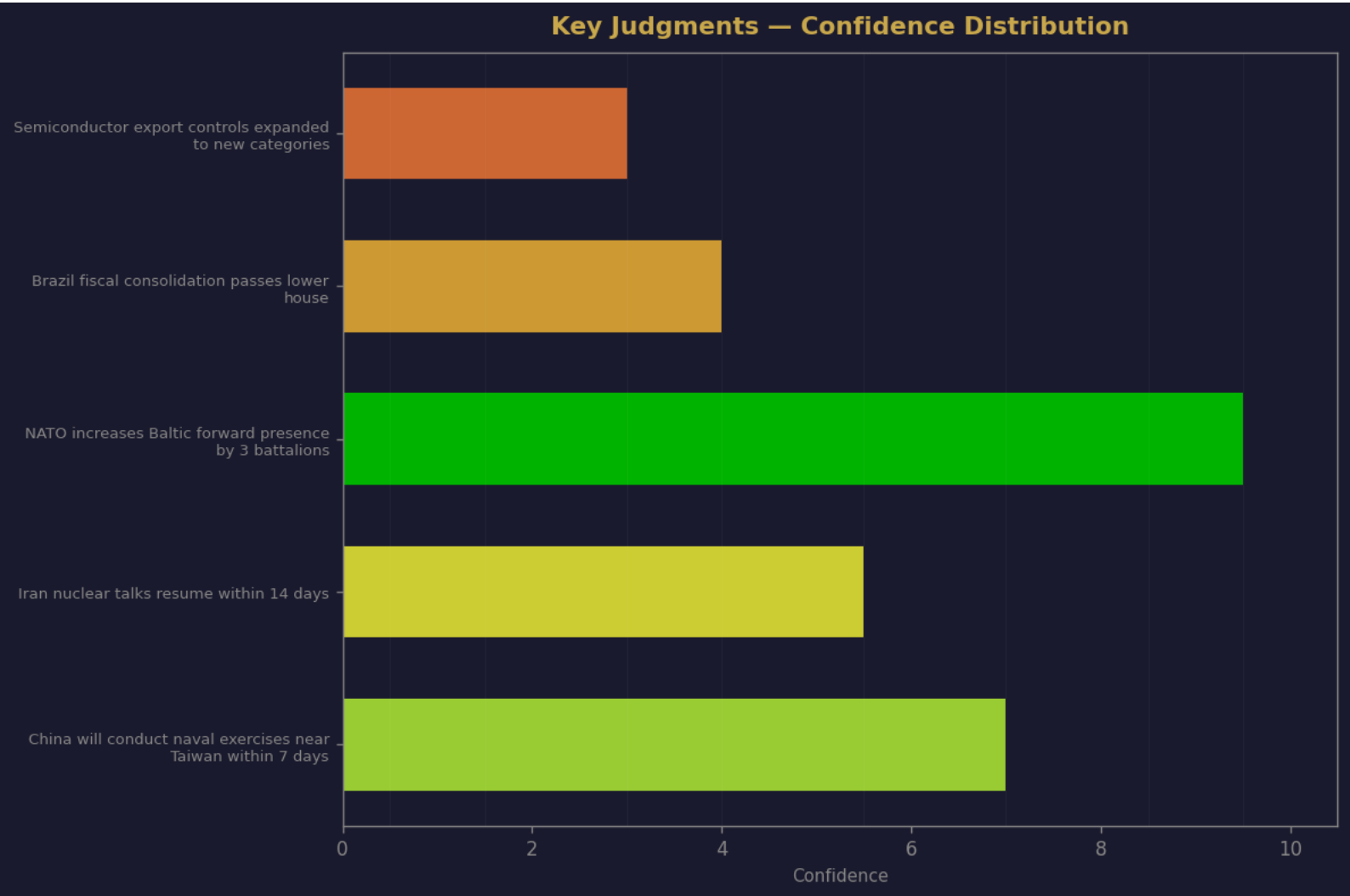


Figure 1: Judgment confidence distribution

Asia-Pacific Security

China's People's Liberation Army conducted live-fire exercises near the Taiwan Strait median line on May 19. The exercises involved J-20 stealth fighters and Type 055 destroyers, simulating anti-access/area denial (A2/AD) operations. This represents the highest readiness posture since the 2022 Pelosi visit.

LIKELY	PLA exercises will continue for at least 7 more days
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Middle East Nuclear Diplomacy

Iran's new president signaled willingness to resume JCPOA negotiations in Vienna. IAEA inspectors report continued enrichment at 60% purity at Fordow. The window for diplomatic resolution is narrowing as Iran's nuclear latency decreases.

EVEN CHANCE Iran will agree to IAEA snap inspections within 30 days

NATO Eastern Flank

NATO announced deployment of 3 additional battlegroups to Poland, Estonia, and Latvia. Response to drone incursion incident in Latvia that brought down the coalition government.

LIKELY At least one more NATO state reports drone incursion within 7 days

Global Finance & Markets

Taiwan Strait tensions drove Kalshi KXTAIWAN contracts to 65¢. DXY strengthened on safe-haven flows. Brent crude held above 2 on Middle East risk premium.



Figure 2: Geographic context

Trade Positions

INSTRUMENT	STRIKE	PRICE	REC	SIZING
KXTAIWAN	>60	0.65	buy	\$500,000
USDCNH	>7.35	7.28	hold	\$1,000,000

Watch Items

Indicator	Trigger	Signal
PLA Eastern Fleet satellite imagery	Fleet concentration > 48h	Exercise imminent
IAEA Fordow inspection access	Access denied > 72h	Diplomatic breakdown
NATO Baltic air policing rotation	Non-scheduled reinforcement	Readiness escalation

Actions

Priority	Action	Timeframe
1	Monitor PLA Eastern Fleet satellite imagery daily	daily
2	Review Iran enrichment timeline	weekly

Sources

- A1 PLA Eastern Theater Command Statement
- A2 IAEA Quarterly Report
- A2 NATO Press Release